

owner die. This will happen by operation of law no matter what the decedent's last will and testament provides. Again, some potential negative consequences of this form of ownership could be:

1. Either co-owner has immediate access to the whole account, which means they can spend it without the other owner's consent.
2. The property will be exposed to the creditors of both co-owners, not to mention both co-owner's future ex-spouses.
3. If either owner is in need of long-term care, the government can require that the owner spend all of the assets out of that account before qualifying for government assistance.

Using transfer-on-death accounts and designated beneficiary accounts (i.e., retirement plans and life insurance policies) will take care of the problems associated with relinquishing ownership during an owner's lifetime, but it still will expose these assets to the beneficiary's creditors and potential ex-spouse's upon death.

Trusts

A trust is a legal arrangement allowing for the transfer of property to a trustee who holds it for the benefit of another person, the beneficiary. You can be the trustee of your own trust and maintain total control, or you can indicate one or more trustees to administer your trust. After you set up a trust, you have to fund it by transferring property from your name to the trust. Since the trust is a separate legal entity, once the property is transferred, it no longer belongs to you. There are legal fees associated with setting up a trust and your situation may not warrant the expense. If you do decide to set one up, find a reputable lawyer who specializes in estate planning.

One who sets up the trust is known as a grantor. Trusts set up during the grantor's lifetime can be revocable or irrevocable. A revocable trust allows the grantor to take the property back at any time. For that reason, a revocable trust is not considered transferred for tax purposes, and the grantor must continue to pay taxes on trust income. Similarly, the government would compel the grantor to take out the property before it would give government aid for long-term care purposes.